IN THE HIGH COURT OF KARNATAKA AT BENGALURU

(ORIGINAL WRIT JURISDICTION - GM-POLICE)

WRIT PETITION NO. 28912 OF 2024

DATED THIS THE 18TH DAY OF OCTOBER, 2024

BETWEEN:

DR. KAVITA RAO, **... PETITIONER**
Proprietor, M/s Healthcare Diagnostics & Lifecare,
Having current account at HDFC Bank, Indiranagar, Bengaluru

(By Adv. K. G. Raghavan, Senior Advocate with Adv. Rohan Keshwani)

AND:

1. STATE OF KARNATAKA, By Cyber Crime Police Station, Bengaluru City **... RESPONDENTS**
2. COMMISSIONER OF POLICE, BENGALURU CITY
3. HDFC BANK LIMITED, Commercial Banking Branch, Bengaluru

(By Sri. B. V. Krishna, Additional Government Advocate for R1 & R2;
Sri. S. Rajashekar, Advocate for R3 Bank)

ORDER & JUDGMENT

1. The petitioner has approached this Court under Article 226 of the Constitution of India praying for a writ of certiorari or appropriate direction to quash the blanket debit freeze placed on her commercial current account holding an operational balance in excess of Rs. 48,00,000/- (Rupees Forty-Eight Lakhs only).

2. The impugned freeze was imposed by respondent No.3 Bank acting upon an automated communication received from respondent No.1 Cyber Crime Police Station in connection with a complaint registered on the National Cyber Crime Reporting Portal (NCRP), alleging that a sum of Rs. 1,84,000/- received by the petitioner from a third-party diagnostic patient constituted tainted funds in a multi-layer UPI cyber fraud.

3. Heard learned Senior Counsel Adv. K. G. Raghavan appearing for the petitioner, learned Additional Government Advocate appearing for respondent Nos. 1 and 2, and learned counsel appearing for respondent No. 3 Bank.

4. Section 102 of the Code of Criminal Procedure, 1973 (as also corresponding Section 106 of the Bharatiya Nagarik Suraksha Sanhita, 2023) empowers police officers to seize property suspected to be stolen or creating suspicion of an offence. However, this statutory discretion is not unguided or untrammeled. Freezing the entirety of an active operating account with crores in turnover for a minor disputed sum of a few lakhs constitutes an unreasonable restriction upon the fundamental right to carry on trade and commerce guaranteed under Article 19(1)(g) of the Constitution.

5. Commercial transactions passing through banking channels frequently cross tertiary and quaternary layers without the recipient having any culpable knowledge or privity with the original cyber fraud. Paralyzing legitimate commercial establishments on automated requisitions without establishing prima facie nexus is wholly arbitrary and unsustainable in law.

6. Banks must strictly adopt the doctrine of proportionality: where a specific transaction sum is impugned, the debit block must be confined exclusively to that disputed amount, and the remaining legitimate balance must be left entirely unhindered for daily commercial operations.

OPERATIVE DIRECTIONS

(i) The Writ Petition is allowed with immediate effect.

(ii) Respondent No.3 Bank is directed to restrict the lien/debit freeze strictly and solely to the disputed amount of Rs. 1,84,000/- (Rupees One Lakh Eighty-Four Thousand only).

(iii) Respondent No.3 Bank shall forthwith release and permit normal debit and banking operations for the remaining balance of Rs. 46,16,000/- within 24 hours of receipt of this order.

(iv) Respondent No.1 Cyber Crime Police is directed to communicate this order to the jurisdictional Judicial Magistrate within 48 hours as mandatorily prescribed under Section 102(3) Cr.P.C.

CERTIFIED TRUE COPY
High Court of Karnataka / Registry
Copy Application No: CA-28912/2024
Examined by: Superintendent (Judicial)

Sd/-
REGISTRAR (JUDICIAL)
HIGH COURT OF RECORD
Seal Affixed on Date of Pronouncement